
FOINWI

Grow Beyond Numbers

HRA CALCULATOR

CURRENT-RULE & PRODUCT ACCURACY RECORD

Internal Governance Record

Audit / Review Period	10 September 2026 (read-only current-rule audit, then same-day correction)
Final Production Checkpoint	10 September 2026, 22:18:03 IST
Git Commit	6463cb3 6463cb35d6bb3337fa030f7dc273a9d93e5fecbc
Commit Message	Correct HRA calculator for FY 2026-27 rules
Branch	main

This document is an internal FOINWI governance and product-accuracy record. It is not marketing material, legal advice, a filing tool, or a certification. It does not claim that the calculator is legally certified, government approved, CA certified, regulator approved, or permanently accurate.

1. Purpose of Record

This internal record documents the completed FOINWI current-rule and product-accuracy review for this calculator only. It records calculator scope, the regulatory/current-rule review, formula review, assumptions, discrepancies discovered, corrections implemented, validation evidence, remaining limitations, authoritative sources used, and the Git production checkpoint.

- Record the FY 2026-27 HRA exemption estimate under Income-tax Act, 2025 and Rules 2026 Rule 279.
- Record that the default section 202 regime does not allow this exemption.
- Preserve that commission under Rule 279 is NOT DEFINITELY RESTATED.

2. Product Scope

What this calculator does

- Educational monthly estimate of House Rent Allowance exemption for FY 2026-27 for a person who has opted out of the default tax regime under section 202.
- Deterministic least-of: HRA received; rent minus 10% of Rule 279 salary; 50% or 40% of that salary by residence category.
- Rule 279 salary in this product = monthly basic + monthly qualifying DA.
- Eight 50% cities vs any other place at 40%, including Gurugram and Noida as 40%.

What this calculator does not do

- Not tax advice, tax payable, tax saved, or employer TDS.
- Does not apply under the default tax regime under section 202.
- Does not adjudicate parent/spouse rent, own-other-house, genuineness of tenancy, or PAN completeness as formula conditions.
- Does not model commission or mid-year period splitting.
- Does not use section 10(13A) / Rule 2A as the current governing basis.

3. Pre-Correction State

- No regime control; a default-regime visitor could read a positive HRA Exemption as if it reduced their tax - largest trust failure in the audit.
- Generic Metro / Non-Metro rather than Rule 279's eight 50% cities.
- Salary treated like basic; DA not collected; commission not disclosed as unmodelled.
- Period not clearly monthly vs annual.
- Section 10(13A) / Rule 2A framing rather than Act 2025 / Rule 279 / section 202.
- Validator duplicated Math.min(...) and did not import production; tautological zero test.

4. Current-Rule Audit Findings

Findings from the retained HRA current-rule audit. Commission qualification is preserved.

P0 Old-regime / section 202 opt-out only; default-regime exemption is nil. Stop implying the benefit is generally available.

P0 Replace Metro/Non-Metro with Rule 279's eight 50% cities vs any other place. Label the input period.

P0 Do not treat salary as basic unless DA is disclosed as assumed zero / collected.

P1 Centralize hraRules + hraEngine; validators call the same engine. Occupation/actual rent disclosures. Form 124 PAN as documentation, not a fourth limb.

P2 Optional commission field only if a 2026 restatement can be cited - currently not in Rule 279.

Uncertainties preserved from the review

- Commission as part of Rule 279 salary: NOT DEFINITELY RESTATED in the 2026 Rules text. Product excludes commission as a scope limitation, not as a legal conclusion that commission can never be relevant.
- Full verbatim Schedule III Table Sl. No. 11 cell (own-house explanation) was not cleanly extractable from the converted Act PDF.
- Original PDF of Circular 08/2013 was not opened; PAN threshold independently in Rule 205.

5. Authoritative Basis

The sources below were used during the completed review. This section is a record of that review. It is not a fresh regulatory reinterpretation.

CBDT / Income Tax Department - Press release - Income-tax Act, 2025 in force from 1 April 2026
 Dates: 1 April 2026
 URL: <https://www.incometaxindia.gov.in/documents/d/guest/press-release-income-tax-act-2025-comes-into-force-from-01-april-2026-pdf>
 Supported: Act 2025 commencement.

Government of India / CBDT - Income-tax Act, 2025 as amended by Finance Act 2026 - ss. 1(3), 11, 202, 134(4)(b); Schedule III Sl. No. 11 (cross-ref)
 Dates: In force 1 April 2026; FA 2026 w.e.f. 1 April 2026
 URL: https://www.incometaxindia.gov.in/documents/d/guest/income_tax_act_2025_as_amended_by_fa_act_2026-pdf
 Supported: Default regime does not allow Schedule III Table Sl. No. 11 exemption.

CBDT - Income-tax Rules, 2026 - Rule 279 formula, eight cities, salary, relevant period; Rule 205 Form 124
 Dates: Notified 20 March 2026; in force 1 April 2026
 URL: <https://www.incometaxindia.gov.in/documents/d/guest/en-notified-it-rules-2026-20-03-2026-pdf>
 Supported: Current HRA computational rule for tax year 2026-27.

Income Tax Department - New vs old regime FAQs - HRA not available in new regime (historical 1961 numbering; policy continued in s.202)
 Dates: Portal FAQ retrieved during the audit
 URL: <https://www.incometax.gov.in/iec/foportal/help/new-tax-vs-old-tax-regime-faqs>
 Supported: Regime unavailability consistent with section 202.

ITD educational pages still using 1961 numbering and a 4-city 50% list were flagged as stale versus Rules 2026 and were not used as current city law.

6. Final Production Formula

```
rule279Salary = monthlyBasic + monthlyQualifyingDA
rentLimb = max(0, rentPaid - 10% x rule279Salary)
cityLimb = 50% x rule279Salary if eight-city category; else 40% x rule279Salary
exemption = max(0, min(hraReceived, rentLimb, cityLimb))
taxableHra = max(0, hraReceived - exemption)
Non-finite / negative amounts normalize to 0
```

Variables

Variable	Meaning
monthlyBasic / monthlyQualifyingDA	Visitor-entered; DA only if provided under terms of employment
hraReceived / rentPaid	Monthly amounts for the labelled period
eight 50% cities	Mumbai, Kolkata, Delhi, Chennai, Hyderabad, Pune, Ahmedabad, Bengaluru

Timing and method assumptions

- All money inputs and results are monthly. No silent annualisation.
- Rule 279 applies to the relevant period; mid-year changes are not split by this calculator.

7. Final Rules / Assumptions

Material production assumptions are classified below. Statutory / official rule is distinguished from a FOINWI product assumption and from an illustrative user-editable assumption.

Class	Assumption
STATUTORY / OFFICIAL RULE	Rule 279 least-of formula; eight 50% cities; any other place 40%; salary includes DA if terms of employment so provide.
STATUTORY / OFFICIAL RULE	Exemption not available under default section 202 regime; this estimator is opt-out only.
FOINWI PRODUCT ASSUMPTION	Commission is not modelled.
FOINWI PRODUCT ASSUMPTION	One labelled month; occupancy/actual rent assumed; own occupied house / no rent -> nil under this estimate.
FOINWI PRODUCT ASSUMPTION	Form 124 PAN is documentation, not a fourth mathematical limb.
ILLUSTRATIVE USER-EDITABLE ASSUMPTION	Basic, DA, HRA received, rent, and residence category are visitor-entered.

8. Corrections Implemented

Correction 1

Old: No regime gate; Metro/Non-Metro; section 10(13A)/Rule 2A framing; annualisation ambiguity.

Corrected: Opt-out regime estimate; eight-city list; Rule 279 / section 202; monthly labels.

Reason: Current-rule / trust.

Correction 2

Old: Salary as basic only; DA not collected.

Corrected: Basic + qualifying DA; commission not modelled, disclosed.

Reason: Rule 279 salary definition with an honest product exclusion for commission.

Correction 3

Old: Validator reimplemented min(...) and did not import production.

Corrected: hraEngine imported; 187 checks passed.

Reason: Architecture.

9. Deterministic Test Vectors

The vectors below were executed against the production engine in the calculator validator. No unexecuted tests are listed.

Inputs	Expected	Actual / validated	Result
HRA limiting (8,000 / 18,000 / 50% city)	exemption Rs 8,000	Rs 8,000	PASS
Rent limb (20,000 / 18,000 / 50% city)	exemption Rs 13,000; taxable Rs 7,000	As correction report	PASS
50% city limb	exemption Rs 25,000	Rs 25,000	PASS
40% place limb	exemption Rs 20,000	Rs 20,000	PASS
Rent below 10% / zero rent / zero HRA	exemption Rs 0	Rs 0	PASS
Bengaluru vs Gurugram	50% vs 40% category	As correction report	PASS
DA Rs 10,000 with the documented vector	Rule 279 salary Rs 60,000; rent limb Rs 12,000; exemption Rs 12,000	Rs 12,000	PASS

10. Validation Evidence

Check	Recorded result
validate:hra	Passed 187 checks
validate:calculators	Passed
validate:trust	Passed 32 checks
validate:hardening	Passed 15 checks
lint	Passed
build	Passed

Test limitations

- Income-tax calculator remained FY 2025-26 and was not changed in this HRA pass, as required.
- Browser click-through was not recorded as completed in the HRA correction report.

11. Remaining Limitations

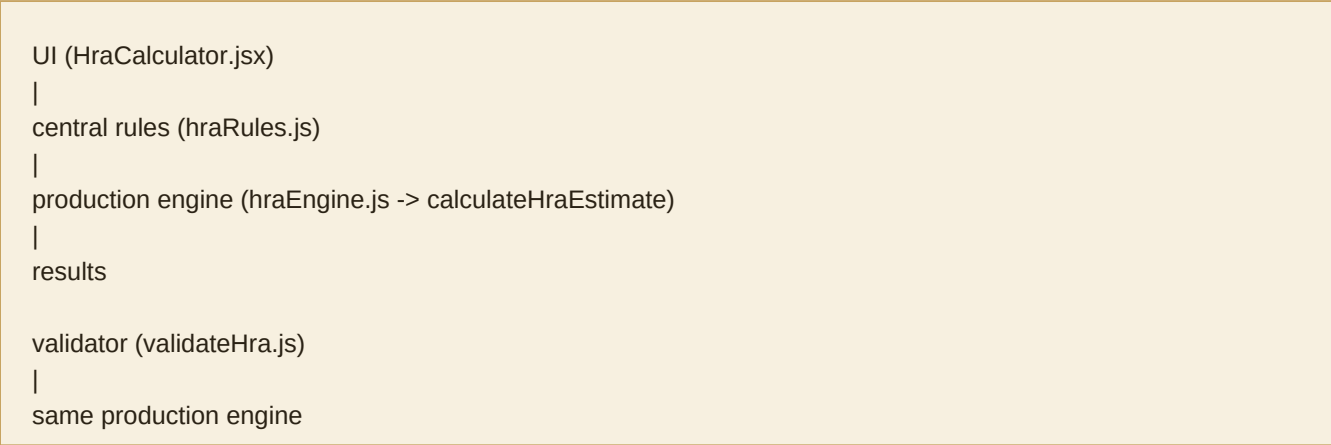
This section is mandatory. It records what this calculator deliberately does not model. It protects FOINWI from overclaiming.

- One labelled month only; mid-year splits are not calculated.
- Commission is not in this product's Rule 279 salary.
- No parent/spouse/other-property adjudication.
- Form 124 PAN does not change the number.
- Not tax payable, not employer TDS.
- Income-tax calculator period remains FY 2025-26 / AY 2026-27 - a different year.

12. Trust & User-Communication Standard

- Exemption estimated only where the person has opted out of default section 202.
- Educational monthly estimate; not tax saved; not exact exemption.
- 50% city list disclosed; Gurugram/Noida are 40%.
- Assumes actual rent for occupied accommodation.

13. Architecture



- Validation imports calculateHraEstimate rather than duplicating the least-of formula.

14. Change Record

Calculator	HRA Calculator
Audit date	10 September 2026 (read-only current-rule audit, then same-day correction)
Correction date	10 September 2026, 22:18:03 IST
Final Git commit hash	6463cb35d6bb3337fa030f7dc273a9d93e5fecbc
Commit message	Correct HRA calculator for FY 2026-27 rules
Branch	main
Relevant production files	src/utils/hra/hraRules.js; src/utils/hra/hraEngine.js; src/components/HraCalculator.jsx; scripts/validateHra.js; scripts/validateAllCalculators.js; package.json (validate:hra); Direct HRA copy in calculators, explains, insights, journeys, Learn, Guide, insights, concepts, recommendations, missionHelpers
Validator	scripts/validateHra.js
Validation command	npm run validate:hra

Final Git commit 6463cb3 verified from git log. Pre-work HEAD was 0b8c461 (PPF correction). Income-tax calculator was not changed.

15. Final Status

FOINWI INTERNAL PRODUCT ACCURACY STATUS

Checkpoint	Status
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Current-rule audit completed	YES
Correction completed	YES
Production engine validated	YES
Regression checks passed	YES
Known limitations documented	YES

Status reflects the rules, assumptions, sources and production checkpoint documented in this record. Regulatory and statutory requirements may change after the recorded review date.

This record does not state that the calculator is 100% legally accurate, permanently compliant, government certified, or error-free forever.